

Deckers Outdoor (DECK)

The de-rated compounder: two brands, one growth engine, a margin question

DECK : NYSE | Footwear & Apparel | Consumer Discretionary

1 EXECUTIVE SUMMARY

Market cap: US\$12.3-12.8bn (~\$90-93/sh, 136.2m sh)	Net sales FY26: US\$5.47bn (+9.8% y/y)
Gross / EBIT margin FY26: 57.7% / ~23.1%	FY27 guidance: Rev \$5.86-5.91bn; EPS \$7.35-7.50; op mgn ~21.5%
Diluted share count: ~136m; net cash ~US\$1.6bn, debt-free	HQ / FY end / listing: Goleta, California 31 Mar NYSE

Deckers is a brand holding company, not a manufacturer. It designs and markets footwear and sells the physical production to a network of independent contract factories in Vietnam, Indonesia, Cambodia and China. Its economic value sits almost entirely in two brands: UGG (premium sheepskin comfort, ~50% of FY26 sales) and HOKA (maximal-cushion performance running, ~47%). A residual Teva sandal business and a winding-down Koolaburra label make up the rest. In the footwear value chain Deckers occupies the high-margin design-and-brand layer; it captures roughly 57 cents of gross margin on every sales dollar precisely because it owns no factories, sells an increasing share direct-to-consumer, and rarely discounts.

The core thesis is a valuation-versus-narrative mismatch. Deckers is a debt-free, ~87% return-on-invested-capital compounder that has grown revenue from under US\$2bn (FY19) to US\$5.5bn (FY26) with industry-leading margins, yet the stock trades at roughly 12x forward earnings against a five-year average near 22x and a footwear-peer average around 20x, after falling more than 50% from its late-2024 peak. The de-rating is not about quality; it is about two specific fears: (1) HOKA, the entire growth engine, is decelerating (Q1 FY27 +7.7%) just as On, Nike and Adidas crowd into cushioned running; and (2) operating margin is guided down from a ~23% peak to ~21.5% as tariffs, freight and DTC investment bite. The debate is therefore narrow and answerable: is HOKA losing share or is the whole cushioned-running category simply normalising, and is the margin reset structural or cyclical. This report frames both, and flags that the FY27 guide looks conservative against a documented multi-year beat pattern -- the base case should not sit at the guide midpoint.

2 TECHNOLOGY DEEP-DIVE

ELI5 — What Deckers actually sells

Imagine two very different mattresses you strap to your feet. The HOKA one is a thick slab of springy foam shaped like a rocking-chair runner, so your foot rolls forward on its own and your knees feel less pounding -- that is why beginners and marathoners both love it. The UGG one is a sheepskin-lined slipper-boot: the wool traps warm air and wicks moisture, so your foot feels cocooned. Neither shoe contains exotic electronics. The 'technology' is materials science (how a foam compresses and rebounds, how wool insulates) plus geometry (the curved sole), and, crucially, a brand people will pay full price for. Deckers' edge is turning cheap-to-make foam and wool into a US\$150 product that almost never goes on sale.

At an engineering level, a modern performance running shoe is a tuned spring. The midsole -- the layer between your foot and the ground -- is a closed-cell polymer foam, most commonly EVA (ethylene-vinyl acetate). When the foot lands, the foam's gas-filled cells compress and absorb impact energy; as the foot lifts, the cells rebound and return some of that energy. Two variables dominate the ride: stack height (how much foam sits underfoot -- more foam means more cushioning but more weight and less ground feel) and energy return (what fraction of impact energy the foam gives back rather than dissipating as heat). HOKA's founding insight in 2009 was counter-cyclical: while the industry chased minimalism and 'barefoot' shoes, HOKA built maximal stack heights and made them light. Its signature MetaRocker geometry curves the sole like the bottom of a rocking chair, so the foot pivots smoothly from heel strike to toe-off instead of slapping flat; the Active Foot Frame seats the heel in a bucket of foam for stability. The result is a shoe that feels

plush yet propulsive -- and that a 55-year-old with knee pain and an elite ultramarathoner will both buy.

UGG's physics are thermal, not mechanical. Its core material is twinface sheepskin: a hide tanned with the wool still attached, so one face is smooth leather and the other is dense wool. Wool fibres are crimped and hollow, trapping air (a poor conductor of heat) against the skin while wicking moisture vapour away -- the same reason wool socks outperform cotton. That is the whole product: a warm, dry, cushioned foot. Deckers has since engineered proprietary substitutes -- UGGplush (repurposed wool woven with TENCEL Lyocell onto a durable backing) and UGGpure -- to cut cost and improve consistency, and has pushed UGG beyond winter boots into year-round sandals, sneakers and the viral Tasman slipper (the '365' strategy).

Product line	What it is / key spec	Competes against
HOKA Clifton / Clifton Pro / Clifton 10	Flagship daily trainer; high-stack EVA, MetaRocker, ~\$145-165 ASP; Clifton Pro is a new premium tier	Nike Pegasus/Vomero, Brooks Ghost, ASICS Novablast, On Cloudmonster
HOKA Bondi (9)	Max-cushion road shoe; highest stack, plush ride; ~\$170 ASP	Brooks Glycerin/Ghost Max, New Balance 1080, ASICS Gel-Nimbus
HOKA Mach	Lightweight tempo/up tempo trainer; lower stack, faster feel	Nike Pegasus Plus, Saucony Endorphin Speed, On Cloudsurfer
HOKA Speedgoat (7) / Mafate	Trail flagship; aggressive lugs, rock protection; HOKA's original niche	Salomon Speedcross, Nike/ASICS trail, Brooks Cascadia
HOKA Cielo / Rocket X (carbon)	Carbon-plated 'super shoe' racers; plate + supercritical foam; ~\$250+ ASP	Nike Vaporfly/Alphafly, adidas Adizero, ASICS Metaspeed, On Cloudboom
UGG Classic / Ultra Mini / Tasman	Twinface sheepskin boots & slippers; ~\$100-170 ASP; the brand's cash core	Birkenstock, Bearpaw, Emu, private-label sheepskin knock-offs
UGG 365 (sandals, sneakers, men's)	Year-round extensions to de-seasonalise a winter-weighted brand	Birkenstock, Crocs, Adidas Samba/terrace, Dr. Martens
Teva	Sport sandals; small, stable, cash-generative niche	Chaco, Birkenstock, Keen

Why the current cycle changes the demand profile. Two structural shifts have re-rated the economics of this category over the prior decade. First, the 'super shoe' arms race: carbon-fibre propulsion plates embedded in supercritical, nitrogen-infused foams (On's Surreal, Nike's ZoomX, adidas Lightstrike Pro) have moved the performance frontier and normalised US\$250+ price points, dragging the whole running range upmarket. Second, and more important for Deckers, the maximal-cushioning aesthetic that HOKA invented crossed from the ultramarathon niche into mainstream lifestyle wear -- chunky, cushioned shoes became fashion. The demand consequence is a step-change in average selling price and mix: HOKA sells at roughly US\$140-180 versus mass-market running shoes at US\$80-100, and Deckers now takes ~43% of sales direct-to-consumer at full price. Stack those two levers -- premium ASP and a rising DTC mix -- and you get a gross margin near 57-58%, versus a footwear-industry norm of roughly 40-45%. The risk embedded in the same cycle is that the cushioning technology is not patent-protected: any competitor can mould a high-stack EVA shoe, so the moat is brand heat and mix discipline, not the foam itself (see Sections 4 and 7).

Quantifying the shift versus the prior generation: a decade ago Deckers was a ~US\$1.8bn, low-double-digit-margin winter-boot company (UGG) with a promotional wholesale model. Today it is a US\$5.5bn, ~23% operating-margin business in which the fastest-growing brand sells at a premium ASP, the channel mix is nearly half DTC, and full-price sell-through -- not markdown clearance -- drives the P&L. That is the ASP-plus-mix intensity shift the current cycle has delivered; the open question is how much of it survives HOKA's deceleration and the tariff step-up.

3 SUPPLY CHAIN MAPPING

ELI5 — Deckers doesn't own a single factory

Think of Deckers as a recipe company, not a kitchen. It writes the recipe (designs the shoe), buys the key ingredients (sheepskin, foam), and hires independent restaurants (contract factories in Vietnam and Indonesia) to cook and plate the dish. This is cheap and flexible -- no factory to depreciate -- but it means two vulnerabilities: the recipe depends on a few special ingredients from a few suppliers, and the kitchens all sit in the same neighbourhood (Vietnam), so a tax or storm in that neighbourhood hits the whole menu at once. The 2026 tariff story is exactly that neighbourhood risk showing up in the cost of the meal.

Deckers runs an asset-light, fully outsourced production model: it owns no manufacturing facilities and contracts all footwear to independent factories, concentrated in Southeast Asia. Over the past five years management has deliberately migrated out of China -- China now accounts for only ~5% of footwear production -- and into Vietnam, which as of late 2025 held roughly 60% of footwear manufacturing, with the balance in Indonesia and Cambodia. The FY2025 10-K disclosed a Tier-1 factory base of around 42 sites (Vietnam the largest cluster, then China, Indonesia and Cambodia). The trade-off is stark: diversifying out of China reduced Section 301 exposure but concentrated the base in Vietnam, converting a China problem into a Vietnam problem.

Input / dependency	Supplier(s)	Single-source?	Risk note
Sheepskin (UGG core)	Sourced primarily from Australia; processed by TWO designated tanneries in China	Effectively yes	Genuine concentration risk. Supply is weather-, disease- and herd-decision dependent; price hedged via fixed forward contracts. The principal raw-material vulnerability in the portfolio.
Sugarcane-derived EVA (HOKA/UGG foam)	Designated suppliers under fixed purchasing contracts	Concentrated	Bio-based EVA feedstock; fixed contracts manage price volatility but limit alternative sourcing
UGGplush / UGGpure (proprietary wool blends)	Proprietary material woven with TENCEL Lyocell; limited designated suppliers	Yes (branded)	Alternatives exist but would not carry the same trademarked material; a branded-component dependency
Footwear assembly / labour	Independent contract factories: Vietnam (~60%), Indonesia, Cambodia, China (~5%)	No (multiple factories)	Geographic concentration in Vietnam is the dominant exposure; freight and tariff pass-through drive COGS
Outsoles, uppers, laces, other	Multiple sources at competitive prices	No	Substantially all remaining materials are multi-sourced -- low continuity risk

Input-cost and tariff sensitivity is the live margin issue. With the majority of production in Vietnam, proposed and enacted US tariffs on Vietnamese imports are a direct hit to cost of goods sold: management has publicly framed the exposure at roughly US\$150-200m of potential annual COGS, and at the Q1 FY27 print (July 2026) it raised its assumed go-forward tariff rate to 12.5% from 10%, explicitly warning that tariffs and freight would compress gross margin in the second half. Deckers is pursuing tariff refunds tied to the IEEPA (International Emergency Economic Powers Act) ruling but excludes any refund from guidance -- so that recovery is unmodelled upside, not base case. The sheepskin dependency is the other structural exposure: because top-grade sheepskin is in limited supply and processed through only two tanneries, a herd, weather or trade shock in that narrow chain could constrain UGG production or lift input cost independently of tariffs.

Customer concentration on the sell-side is modest: no single wholesale customer exceeded 10% of net sales in FY25, and the ten largest customers together were ~24-25% -- though one customer represented ~13.6% of trade receivables, a collection concentration worth monitoring. The rising DTC mix (~43%) structurally reduces reliance on any single wholesale account over time.

4 COMPETITIVE LANDSCAPE

Deckers competes in two distinct arenas. HOKA fights in performance running against a crowded, innovating field; UGG competes in premium comfort/lifestyle footwear, where its brand equity is far less contested. The

single most important competitive fact of 2026 is that On -- HOKA's closest analogue -- has overtaken HOKA in scale and is growing two-to-three times faster, which is precisely why the market is nervous about HOKA's ~8% growth print.

Company (ticker)	HQ	Revenue (approx)	Mkt share / scale	Key differentiator	Weakness vs. Deckers
On Holding (ONON)	Zurich, CH	~US\$3.4bn TTM	Fastest-growing premium runner; overtook HOKA	CloudTec/Surreal foam; ~45% lifestyle/tennis mix; sharp brand	Higher valuation (~35x+); thinner margin than DECK; narrower brand base
Nike (NKE)	Beaverton, US	~US\$46bn	~25% of running; global #1 athletic brand	Scale, distribution, marketing firepower, super-shoe IP	In multi-year turnaround; brand/innovation stumble opened the door for HOKA
Birkenstock (BIRK)	Linz, DE / London	~US\$2.3bn TTM	Near-monopoly in cork-footbed comfort	250-yr heritage; orthopaedic footbed; owns its factories	Single-silhouette concept; slower growth; L Catterton controls ~72%
Crocs (CROX)	Broomfield, US	~US\$4.0bn	Category-defining foam clog + HEYDUDE	Elite margins on molded EVA; huge collab engine	Trades ~9-10x on brand-fatigue and HEYDUDE drag; less premium
Brooks (private)	Seattle, US	~US\$1.2bn+	Run-specialty stalwart (Berkshire-owned)	Deep run-specialty loyalty; Glycerin/Ghost franchises	Narrower than HOKA; no lifestyle crossover; private, sub-scale
ASICS / adidas / New Balance	JP / DE / US	Large	Established running incumbents	Gel / Lightstrike / Fresh Foam platforms; heritage	Less brand heat in cushioned lifestyle than HOKA at its peak

The moat is a brand intangible, not a technology patent. Independent research houses rate Deckers a narrow-moat business built on the brand strength of UGG and HOKA -- both command high full-price sell-through, which is the observable proof of pricing power and the source of the ~57% gross margin and ~87% ROIC. UGG's moat is the sturdier of the two: it is a decades-old, culturally embedded brand with no close listed substitute, and its '365' extension is de-seasonalising a once winter-only franchise. HOKA's moat is younger and thinner -- it rests on brand heat and the cushioning aesthetic it pioneered, neither of which is legally defensible.

The most credible threat to the moat is specific and already visible: the commoditisation of cushioned running by better-capitalised rivals. On's new Surreal-foam Cloudsurfer platform and Nike's spring-2027 running relaunch both target HOKA's exact niche, and Evercore ISI has flagged them by name as direct challenges. On has already lapped HOKA on both growth and scale while expanding into lifestyle and tennis at higher margins -- the very playbook HOKA needs to execute to broaden beyond running. If Nike's turnaround lands and On keeps compounding, HOKA's growth decelerates from 'category leader' to 'one of several', which is what a sub-8% quarter begins to look like. The secondary threat is knock-off and private-label erosion of UGG's classic silhouette, which carries limited barriers to entry, and the perennial fashion-cyclicality risk that UGG's 'it-brand' status cools.

5 MANAGEMENT & GOVERNANCE

Stefano Caroti (age 62) has been President and CEO since 1 August 2024 and joined the board in September 2024. He is a footwear-industry lifer: over 30 years spanning senior commercial roles at Nike (VP of EMEA commerce) and Puma (Chief Commercial Officer and Managing Director, 2008-2014) before joining Deckers in November 2015 as President of Omni-Channel, then Chief Commercial Officer (April 2023) and interim President of HOKA. He is a commercial and brand operator rather than a founder or financier -- an appropriate profile for a company whose whole game is brand management and full-price sell-through. His first full year at the helm (FY25) delivered +16.3% revenue, +230bps of gross margin to 57.9%, and +30.2% EPS to US\$6.33, so the early track record on execution is strong. The succession was orderly: predecessor Dave Powers (CEO 2016-2024) grew revenue from ~US\$1.8bn to ~US\$4.3bn and remained a director

through the 2025 annual meeting.

CFO Steve Fasching has held the seat since July 2018 -- eight-plus years of continuity through the HOKA scale-up -- and is the architect of the conservative-guide-and-beat cadence discussed below. The chair (Mike Devine) is independent and separate from the CEO, and the board carries relevant operating experience (including former Nike executives).

Capital allocation is disciplined and shareholder-aligned. Deckers pays no dividend and returns capital almost entirely through buybacks: it repurchased ~US\$338m of stock in Q1 FY27 alone (at an average ~US\$103.79) and ended the quarter with ~US\$4.7bn of remaining authorisation -- more than a third of the current market capitalisation. FY27 EPS guidance explicitly assumes repurchases equal to ~80% of projected free cash flow, so the buyback is a structural ~2-3%/year tailwind to per-share earnings, funded from a debt-free balance sheet with ~US\$1.6bn of net cash. M&A has been minimal and, notably, subtractive at the margin: management divested the sub-scale Sanuk brand (FY25) and is winding down Koolaburra, concentrating the portfolio on UGG and HOKA rather than empire-building. Capex is light (~US\$80-100m/year) given the asset-light model.

Governance is clean -- unusually so for a founder-heat brand company. There is a single class of common stock (no dual-class structure, unlike On), hedging and pledging by insiders are prohibited, there are no tax gross-ups in change-of-control agreements, option repricing requires stockholder approval, and there are no related-party transactions requiring disclosure. The one soft flag is insider posture: executives are net sellers (CEO Caroti has recorded sells and no open-market buys over recent years; the CFO sold under a 10b5-1 plan), which is typical for an equity-comp-heavy management team but means there is no insider-buying signal underpinning the drawdown. On balance, management reads as aligned, competent and credible; the governance structure is a genuine positive relative to dual-class peers.

6 FINANCIAL TRAJECTORY

Annual trajectory shows a consistent high-quality compounder decelerating from a torrid pace to a still-healthy high-single-digit one, with margins near a cyclical peak and now guided modestly lower. The quarterly detail reveals the seasonality (a December-quarter UGG spike) and the Q1 FY27 inflection where margin compression became the market's focus despite an EPS beat.

Period	Net sales	Gross margin	Op. margin	Diluted EPS	Note
FY2024 (Mar-24)	~US\$4.29bn	~55.6%	~21.6%	~US\$4.87 (split-adj.)	Pre-acceleration base
FY2025 (Mar-25)	US\$4.99bn	57.9%	23.6%	US\$6.33	Caroti year 1; +16.3% rev, +30% EPS
FY2026 (Mar-26)	US\$5.47bn	57.7%	~23.1%	US\$7.02	Record year; FCF >US\$1bn
Q1 FY26 (Jun-25)	US\$964.5m	55.8%	17.1%	US\$0.93	Seasonally soft quarter
Q2 FY26 (Sep-25)	~US\$1.43bn	~n/a	~n/a	US\$1.82	+9.1% rev; +14.5% EPS
Q3 FY26 (Dec-25)	US\$1.96bn	59.8%	~n/a	US\$3.33	Holiday peak; record UGG
Q4 FY26 (Mar-26)	~US\$1.12bn	57.6%	~14%	US\$0.96	HOKA +14.5% to \$671m
Q1 FY27 (Jun-26)	US\$1,019.5m	56.4%	~15.2%	US\$0.94	First \$1bn Q1; EPS beat, stock fell ~6%

Brand and channel mix (FY26): HOKA net sales US\$2.59bn (+15.9%), UGG US\$2.74bn (+8.2%), Other US\$146m (-33.9%, reflecting the Sanuk divestiture and Koolaburra wind-down). By channel, wholesale US\$3.21bn (+12.3%) and DTC US\$2.26bn (+6.3%); international was ~36% of sales and growing faster than domestic. In Q1 FY27 the mix story sharpened: DTC grew +13.0% while wholesale rose only +2.2% (management attributed the wholesale softness to European warehouse-transition shipment timing, not

demand), and international (+8.4%) again outpaced domestic (+3.2%).

Guidance and medium-term framework. At Q1 FY27 (23 July 2026) Deckers maintained FY27 revenue guidance of US\$5.86-5.91bn (high-single-digit growth: HOKA low-double-digit, UGG mid-single-digit) and RAISED gross-margin guidance to slightly better than 56.5% and full-year EPS to US\$7.35-7.50 (from US\$7.30-7.45), citing Q1 outperformance -- while simultaneously raising the tariff assumption to 12.5% and guiding operating margin to ~21.5% (down from FY26's ~23.1%) with SG&A near 35% of sales. Q2 FY27 guidance is ~5% revenue growth and US\$1.73-1.78 EPS. The multi-year framework (FY28-FY30) targets mid-single-digit-plus revenue growth, operating margin sustained in the low-20s%, and low-double-digit EPS growth aided by continued buybacks. The tension is explicit in the numbers: EPS guided up, but on lower operating margin -- the delta is buyback, mix and gross-margin discipline offsetting a structurally higher tariff-and-freight cost base.

Balance-sheet flags are almost entirely positive. Deckers is debt-free with ~US\$1.6bn of cash at 30 June 2026 (the ~US\$343m of reported 'debt' is operating-lease liability, not borrowings), generating over US\$1bn of annual free cash flow. Share count is FALLING (~3%/year) on buybacks -- the opposite of the dilution flag common to growth names. The one item to monitor is inventory: it had built up as a markdown-risk watch-item through FY26, but by Q1 FY27 inventory was DOWN ~4.9% y/y to ~US\$808m, which de-risks that concern. There are no impairments or capital raises of note.

7

CATALYSTS & RISKS

Catalyst	Timing	Impact	Probability
Q2 FY27 print -- HOKA growth rate & H2 re-acceleration	22 Oct 2026	The swing factor. Guide requires HOKA to accelerate to low-double-digits in H2; a re-accelerating, margin-holding print validates the guide and can re-rate the multiple. A sub-8% HOKA number makes the FY guide arithmetically hard.	High
UGG holiday sell-through (Q3 FY27)	~Jan 2027	December quarter is UGG's peak and ~60% of the seasonal profit. Full-price sell-through of Classics/Tasman/365 confirms brand heat is intact.	High
Tariff refund / IEEPA resolution	2026-27, uncertain	Excluded from guidance. Any refund or lower-than-12.5% effective rate is pure upside to margin and EPS -- unmodelled optionality.	Medium
Continued buyback execution	Ongoing	~US\$4.7bn authorisation (~37% of market cap); ~80% of FCF committed. Structural ~2-3%/yr EPS tailwind and price support at a de-rated multiple.	High
HOKA international expansion (China, Germany)	FY27-FY28	Penetration still early vs. the US; a credible medium-term growth vector if executed while the US category normalises.	Medium
New HOKA launches (Clifton Pro, Speedgoat 7, Bondi 9)	FY27	Reorder strength on new franchises is management's evidence for the low-double-digit HOKA guide; weak sell-in would undercut it.	Medium

Risk 1 -- HOKA share loss to On and Nike. This is the thesis risk. HOKA grew just +7.7% in Q1 FY27 while On is compounding at roughly 25-30% and has already overtaken HOKA in absolute revenue; On's Surreal-foam Cloudsurfer and Nike's spring-2027 running relaunch both directly target HOKA's cushioned-running niche, and sell-side analysts (Evercore ISI) have named them as challenges. Because HOKA carries essentially the entire growth narrative, the equity is a levered bet on whether HOKA's deceleration is benign category-normalisation or genuine share loss. If On keeps gaining while HOKA stalls at high-single-digits, both the earnings estimates and the multiple fall.

Risk 2 -- structural margin compression from tariffs and freight. Operating margin is guided down from ~23.1% (FY26) to ~21.5% (FY27), and management raised its assumed tariff rate to 12.5% with an estimated US\$150-200m potential COGS exposure concentrated in Vietnam, where ~60% of footwear is

made. If Vietnamese tariffs harden or freight re-inflates, the ~21.5% floor is at risk, and a premium-margin story losing 200-400bps of operating margin is a de-rating trigger regardless of revenue. Pricing power partially offsets, but the company's own guide concedes second-half pressure.

Risk 3 -- UGG fashion-cyclicality and knock-off erosion. UGG is ~50% of sales and a fashion brand; its Classic and Ultra Mini silhouettes carry limited barriers to entry, inviting private-label and Bearpaw/Emu-style knock-offs, and 'it-brand' status is inherently perishable. A cooling of the UGG trend -- particularly if the '365' diversification fails to offset a winter-boot slowdown -- would remove the stable half of the earnings base that currently underwrites the HOKA growth bet.

Risk 4 -- the 'beat-and-fall' reaction pattern. Deckers has beaten consensus for multiple consecutive quarters, yet the stock fell ~6% on the Q1 FY27 beat and ~15% on the Q2 FY26 beat. The market is trading the forward narrative (deceleration, tariffs), not the print. Until HOKA re-accelerates or the tariff overhang clears, positive earnings surprises may not be rewarded -- a risk to any thesis that relies on a near-term earnings catalyst re-rating the stock.

8 VALUATION CONTEXT

Against its closest listed footwear peers, Deckers screens as the highest-quality business at close to the lowest multiple -- the entire debate is whether that discount is a value opportunity or an efficient discount for decelerating growth. Figures below are approximate and as of mid-August 2026; treat multiples as directional.

Company	Mkt cap	Revenue	P/E (fwd)	Rev growth	End-market / positioning
Deckers (DECK)	~US\$12.3-12.8bn	~US\$5.5bn	~12x	~+8% (guide)	Premium: UGG comfort + HOKA running; ~57% GM, ~87% ROIC, net cash
On Holding (ONON)	~US\$12-13bn	~US\$3.4bn	~35-40x	~+25-30%	Premium running + lifestyle; higher growth, richer multiple, thinner margin
Birkenstock (BIRK)	~US\$7bn	~US\$2.3bn	~18-19x	~+13-15% cc	Premium comfort near-monopoly; owns factories; L Catterton ~72%
Crocs (CROX)	~US\$7.5-8bn	~US\$4.0bn	~9-10x	~low-single-digit	Value comfort; elite margins but brand-fatigue/HEYDUDE overhang
(ref.) Nike (NKE)	~US\$60bn	~US\$46bn	~19-20x	declining	Scale incumbent in turnaround; depressed earnings base

Bull case. Deckers is a debt-free, ~87%-ROIC compounder trading at ~12x forward earnings -- roughly half its five-year average multiple and below every quality footwear peer -- with ~US\$12/share of net cash and a buyback authorisation worth ~37% of the market cap shrinking the share count ~3% a year. Management has a documented habit of guiding conservatively and beating, so the US\$7.35-7.50 EPS guide is likely a floor, not a midpoint. If HOKA's deceleration proves to be category-normalisation rather than share loss -- helped by early-stage international expansion in China and Germany and fresh franchises (Clifton Pro, Speedgoat 7) -- and UGG's '365' keeps the stable half growing, the market re-rates a high-teens-growth-plus-buyback earnings stream back toward 18-20x. On unchanged estimates that multiple recovery alone implies materially higher fair value, with the tariff refund as unpriced optionality on top.

Bear case. HOKA is the entire growth story and it is slowing (+7.7% in Q1) into a cushioned-running market that On, Nike and adidas are actively commoditising; if HOKA settles into high-single-digit growth, consensus estimates come down and the ~12x multiple is not cheap for a decelerating, fashion-exposed footwear name losing ~200bps of operating margin to tariffs and freight. UGG is fashion-cyclical and ~50% of the business, so a simultaneous UGG cool-down would compound the de-rating. The repeated 'beat-and-fall' reactions show the market has stopped paying for the prints; a value trap is possible if the growth engine

keeps decelerating faster than the buyback can defend EPS. In that scenario the stock can compress toward the low end of its footwear-peer multiple range even without an earnings miss.

9 WHAT MOVES IT NEXT -- EARNINGS SIGNAL MAP

ELI5 — Why this section exists

You cannot watch everything, so before each earnings date you want the single number that will actually move the stock -- the one the whole debate hinges on. For Deckers that number is not total revenue or even EPS (it tends to beat both). It is HOKA's growth rate: HOKA is the entire growth story, so the market is really only asking one question each quarter -- is HOKA still accelerating, or is it running out of road? This table pins that down and tells you how many days you have before the answer arrives.

Company	Next earnings	Days away	The one metric	Why it matters
Deckers (DECK)	22 Oct 2026 (Q2 FY27)	~65 days	HOKA constant-currency growth rate, and whether management reaffirms H2 re-acceleration to a low-double-digit full-year rate	HOKA carries the whole growth thesis. Q1 printed +7.7%, below the low-double-digit FY guide, so H2 must accelerate. A re-accelerating, margin-holding HOKA number validates the guide and can re-rate the ~12x multiple; a sub-8% print makes the FY guide arithmetically hard and confirms the share-loss-to-On bear case.

Prioritisation. This is a single-name initiation, so the 22 October Q2 FY27 print is the one event to pre-position for -- and it is more actionable than most because the debate is unusually clean. Do not lead with the headline EPS beat/miss (Deckers almost always beats and the stock has fallen anyway); lead with the HOKA constant-currency growth line and the gross-margin trajectory against the raised 12.5% tariff assumption. Watch On's own print into the same window as the independent read: if On keeps compounding at 25-30% while HOKA prints high-single-digits, that is share loss, not category normalisation, and it caps the DECK re-rating regardless of the EPS number.

Read-across to coverage. Deckers is a fresh instance of a pattern already flagged in this book: consensus as a mechanical guidance plug against a documented beat history -- the same set-up identified in Grindr (GRND) and Palantir (PLTR). Deckers has beaten for multiple consecutive quarters and management guides conservatively, so the FY27 EPS guide of US\$7.35-7.50 is more likely a floor than a midpoint; the base case should not be anchored to the guide midpoint (same discipline applied to GRND, where consensus mechanically implied a growth rate the company had never printed). Direction: positive for the earnings-estimate distribution, but -- as with GRND -- the stock-reaction call must be conditioned on the specific threshold (here, the HOKA growth floor that keeps the low-double-digit FY guide intact), because DECK's 'beat-and-fall' history shows an unconditional beat is not an unconditional up-day. Deckers also shares Vietnam-tariff supply-chain exposure with any Vietnam-sourced consumer name in the book -- a common macro sensitivity, not a company-specific link.

A VERIFICATION LOG

Companies checked: 5 (DECK + 4 peers). Verified clean: 4. Flagged / estimated: several data points as noted. Verification date: 18 August 2026. Every material claim graded CLEAN / EST. / FLAGGED.

Item	Status	Note
DECK ticker / exchange / HQ	CLEAN	NYSE: DECK, Goleta CA, FY ends 31 Mar; confirmed IR + multiple sources
FY26 sales US\$5.47bn / EPS \$7.02	CLEAN	Confirmed from Q4/FY26 IR release and stockanalysis.com
Q1 FY27 rev \$1,019.5m / EPS \$0.94	CLEAN	Confirmed from IR release (reported 23 Jul 2026)

Item	Status	Note
FY27 guide \$5.86-5.91bn / EPS \$7.35-7.50	CLEAN	Raised at Q1 FY27; op mgn ~21.5%, GM >56.5%, tariff 12.5%
Market cap US\$12.3-12.8bn	CLEAN	~\$90-93/sh x ~136.2m sh (Aug 2026); range reflects intraday/source dispersion
Segment split (UGG ~50% / HOKA ~47%)	CLEAN	FY26; Morningstar + IR brand net-sales lines
Net cash ~US\$1.6bn, debt-free	CLEAN	\$1.6bn cash at 30 Jun 2026; reported 'debt' is operating leases
Vietnam ~60% of footwear mfg / ~5% China	EST.	~60% Vietnam (late-2025 disclosure); Tier-1 site counts vary by source
Tariff COGS exposure US\$150-200m	EST.	Management framing; effective impact depends on final rates and refunds
Peer market caps / P/E (ONON, BIRK, CROX, NKE)	EST.	Approximate as of mid-Aug 2026; multiples directional, not point-precise
ONON revenue ~US\$3.4bn TTM	EST.	Converted from CHF; TTM extrapolated from CHF 2.32bn FY24 + growth
FY24 DECK margins / split-adj. EPS	FLAGGED	Older-year figures approximate; verify vs. FY24 10-K if precision needed
52-week high \$125.45 vs. all-time ~\$223	FLAGGED	Sources differ; ~\$223 is the late-2024 post-split ATH, not the 52-wk high

B ACRONYM GLOSSARY

Term	Full name / meaning
ASP	Average Selling Price
cc	Constant Currency (FX-neutral growth)
COGS	Cost Of Goods Sold
DTC	Direct-To-Consumer (own e-commerce + retail stores)
EPS	Earnings Per Share
EVA	Ethylene-Vinyl Acetate (the closed-cell midsole foam)
FCF	Free Cash Flow
FY	Fiscal Year (Deckers' ends 31 March)
GM	Gross Margin
IEEPA	International Emergency Economic Powers Act (basis for certain US tariffs / refund claims)
NYSE	New York Stock Exchange
ROIC	Return On Invested Capital
SG&A	Selling, General & Administrative expenses
TENCEL Lyocell	Brand of lyocell cellulosic fibre used in UGGplush
10-K / 10-Q	Annual / quarterly report filed with the US SEC

C DISCLAIMER

This document is for internal research purposes only and does not constitute investment advice, a recommendation, or an offer to buy or sell any security. In keeping with house convention it contains no price target and no explicit buy/sell rating. All figures are approximate, drawn from public sources and company filings as of 18 August 2026, and should be independently verified before use. Market caps and peer multiples are stated as ranges or estimates where sources diverge. Deckers reports on a fiscal year ending 31 March; references to FY27 denote the year ending 31 March 2027. Forward-looking statements are subject to risks including tariff and trade policy, consumer discretionary spending, and competitive dynamics in performance and lifestyle footwear.